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ASIA MACRO INSIGHTS

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Beyond Headline Growth, China continues its push for a New Normal. Alas, that new normal still needs the global export market

For years, the Chinese government has engineered a crucial economic transition, pivoting away from traditional sectors like low-value manufacturing and real estate toward a "new normal" centered on high-tech industries and technological self-reliance. China is making significant progress on this front, but it comes at a cost, namely a lower rate of economic growth.

Notwithstanding the ongoing deceleration, which is becoming particularly evident in the most recent data for March as well as high frequency data for April, China is expected to meet its 4.5-5% GDP growth target for 2026. China's statistical focus on manufacturing output in its GDP statistics also helps since this is what China will continue to push, the supply side of the economy. And yet, the traditional pillars of the economy are faltering. The real estate and infrastructure sectors continue to lose momentum, with a brief housing rebound in early 2026 proving not only narrow but also short-lived. This weakness has created a ripple effect, depressing demand in upstream industries like steel and putting pressure on the automotive sector.

In contrast, China's "new economy" is booming, particularly in digital and AI-related industries. Despite challenges in accessing cutting-edge chips, China is demonstrating a world-class ability to commercialize and industrialize AI technologies. A massive 54% year-over-year surge in integrated circuit imports in March 2026 signals rapid investment in the core hardware needed for this technological pivot. Simultaneously, tech giants are heavily investing in domestic AI firms, accelerating the creation of a self-sufficient ecosystem.

While this strategic shift seems to be successful, certainly when it comes to China's key objective of technological self-reliance, it exacerbates a long-standing structural problem: the imbalance between overabundant supply and insufficient domestic demand. Consumption remains weak, a dynamic best described as "high volume, low value." A good example of this is mobility data showing that more people are traveling but per-capita spending has declined. Looking ahead, the AI boom may worsen this trend by displacing labor and suppressing wage growth, further entrenching weak consumption patterns.

China's new economic model, which prioritizes high-tech supply over stimulating internal demand, only makes China increasingly dependent on global export markets to absorb its growing industrial output. The rise in global protectionism and weakening demand in key markets highlights the vulnerability of this export-driven strategy.

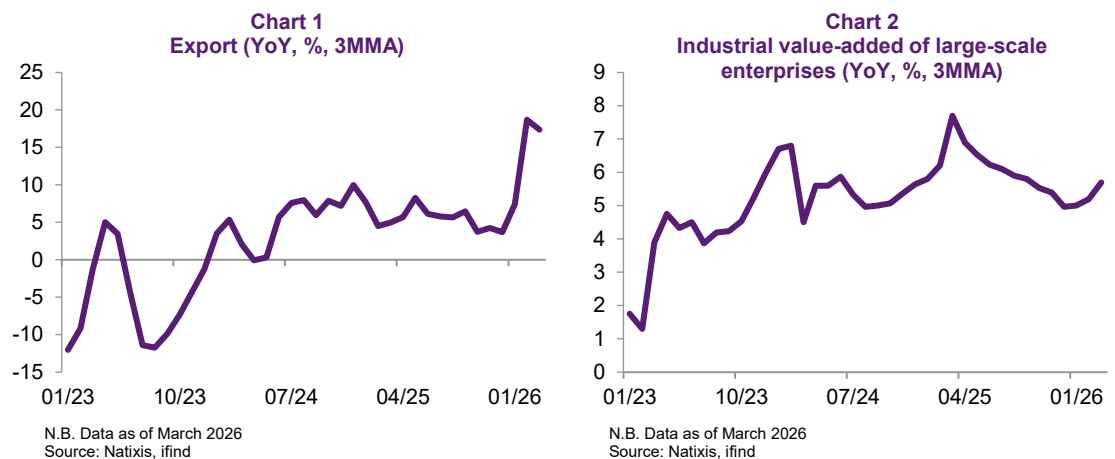
All in all, while China's pursuit of a new normal is progressing but its success is intricately tied to the stability of global trade, creating significant downside risks for growth down the road.

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China's macroeconomic situation

Much in line with global instability, China's macroeconomic data in the first quarter have witnessed significant fluctuation. The first two months showed robust export growth, which then slowed in March. This deceleration coincided with a surge in imports and subdued consumer spending. While March figures are widely believed to be distorted by the Lunar New Year holiday, they do offer a concern as to what may come next (**Chart 1**).

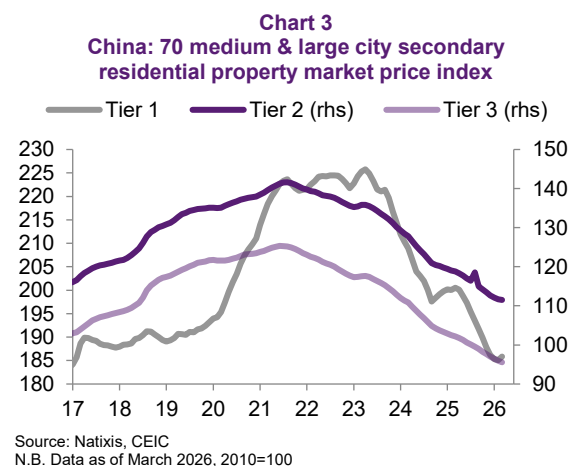


Our expectation is that China's real GDP growth will decelerate but very slowly, which should be able to achieve the government's 4.5-5% growth target for 2026. An underappreciated reason why the 4.5-5% target is achievable, despite weak consumption, is that China's GDP data releases emphasize the production-output method, making supply-side momentum, namely, industrial value-added, a core pillar¹. As long as China can continue to increase industrial production, the growth target will be ensured. In fact, in March 2026, the value-added of large-scale industrial enterprises maintained a stable 5.7% growth rate (**Chart 2**).

New and old economy divide

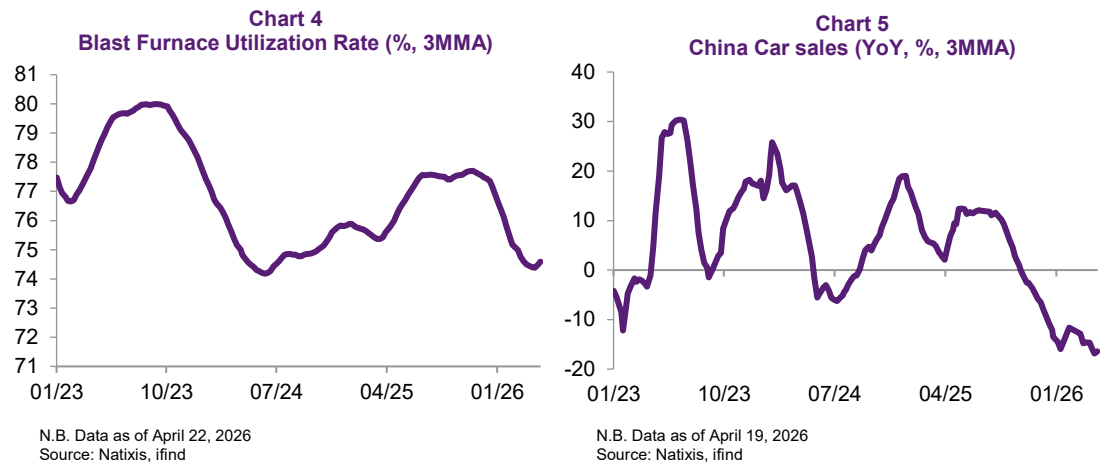
However, only focusing on GDP growth misses a key structural transformation pattern occurring beneath the headline figures, particularly the replacement of traditional economic drivers with new ones.

China's traditional growth engines are under significant pressure. Pillars like real estate and infrastructure continue to lose momentum, and the brief housing market rebound led by Tier-1 cities in Q1 appears not only narrow but also short-lived (**Chart 3**). This weakness is rippling through upstream industries, with demand for steel remaining low, as reflected in a persistently weak blast furnace utilization rate (**Chart 4**). Even the auto sector, a cornerstone of traditional manufacturing, is facing broad pressure from falling sales, though even the

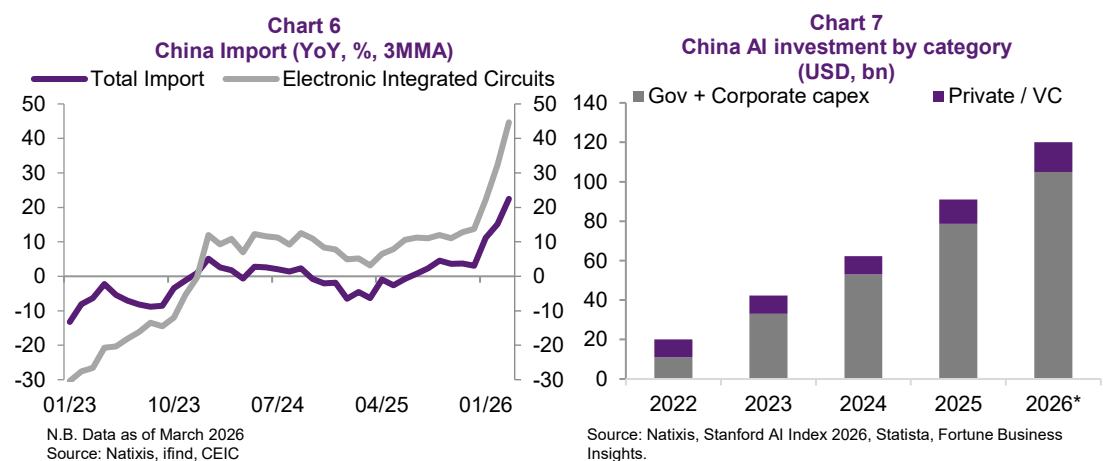


¹ China's National Bureau of Statistics (NBS) officially follows the UN System of National Accounts (NSA) with incorporate the three methods (expenditure, income and production output), but it emphasizes the production -output. The European Union statistical arm, Eurostat, for example, emphasizes expenditure.

electric vehicle was spared facing the same pattern of downturn (**Chart 5**).



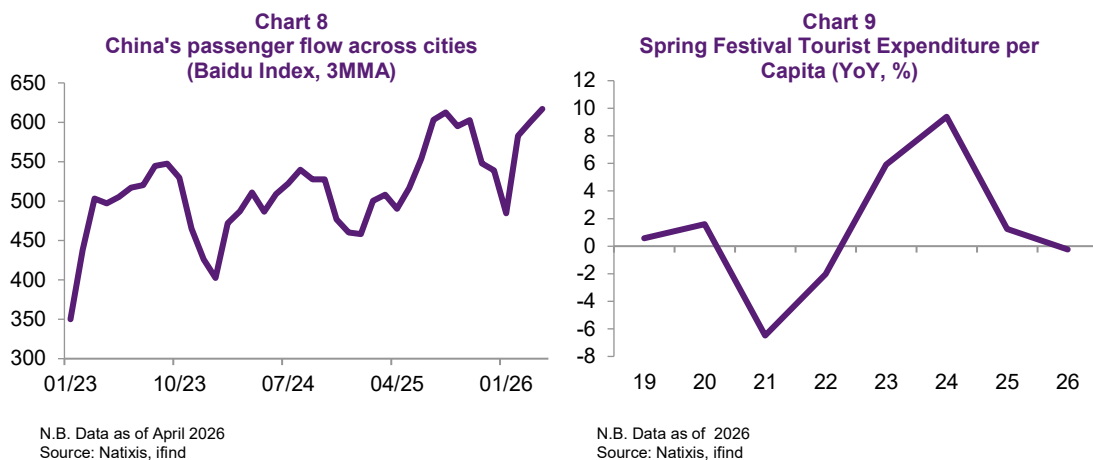
On the other hand, a starkly different story is unfolding in the new economy. In particular, the digital economy and AI-related industries are expanding at high speed. While China's AI development is currently constrained by chip access and lags behind the cutting-edge technology represented by the US, its capabilities in industry implementation and commercial application are among the best in the world, with an extremely rapid pace of industrialization. This is supported by the data: China's total imports surged by 23% year-over-year in Q1 2026, with an astonishing 54% year-over-year jump in integrated circuit imports in March. This dramatic rise in core hardware imports confirms the rapid advancement of the digital sector (**Chart 6**). Leading tech giants like Tencent and Alibaba are actively investing in local AI firms such as DeepSeek. The industry is increasingly relying on domestically produced chips for model training and iteration, accelerating the development of a self-reliant AI ecosystem.



Supply-demand imbalance

Another notable feature, from the expenditure perspective, is the long-critical issue of insufficient domestic demand, which now presents a structural problem of "high volume, low value." While mobility data, such as Baidu's migration index, show a sustained increase in cross-regional population flows (**Chart 8**), holiday spending data reveals that per-capita consumption has declined recently (**Chart 9**). This means the surge in people movement has not translated into a proportional recovery in real consumer demand. Inflation data also offers evidence of weak demand, especially in the service sector. In fact, the services component of CPI in March 2026 rose by a mere

0.8% year-over-year, even lower than the 1.1% core CPI growth, underscoring that increased foot traffic has not fueled robust demand.



On top of this, the recent AI boom is only going to exacerbate the imbalance. As AI technology becomes more widely adopted, intensifying competition will drive companies to relentlessly cut costs and improve efficiency. The trend of technology displacing labor will become more pronounced, suppressing wage growth for households. This, in turn, risks entrenching the internal contradiction of insufficient demand and weak consumption.

The new normal of the Chinese economy

China's economy is transitioning to a "new normal" focused on technological self-reliance rather than traditional industries. Given the country's significant progress in advancing its technology sectors, strong anti-cyclical measures to boost demand are unlikely, as this shift appears to be proceeding as planned. However, weak export data from March 2026 could be a warning sign. This may reflect the growing impact of global protectionism and geopolitical tensions, as well as weakening demand in key markets like ASEAN, which are grappling with high energy prices.

All in all, China's pursuit of a new normal is progressing but the success comes with consequences. The strategic pivot towards high-tech manufacturing at the expense of domestic consumption is worsening the nation's supply-demand imbalance and makes headline GDP growth highly vulnerable to any weakness in global exports.

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